

Where Did the Money Go??

A Very Serious Investigation, by Frank Kenney, for very smart kids

Okay. Imagine you had a lemonade stand this summer. You worked SO hard. You sold SO much lemonade. But when summer ended and you counted your jar of money... it was way less than it should have been.

Nobody stole it. There's no bad guy. It just... disappeared. A little bit. At a time.

Spooky, right?

Here's the trick

If someone grabbed your **WHOLE** jar of lemonade money at once, you'd notice in one second. You'd tell your mom. There'd be a whole thing.

But what if someone only took **one penny**? Just one. From YOUR stand. And also one penny from a hundred other kids' lemonade stands, on the same street, every single day, all summer?

Nobody would ever notice. Not you, not your mom, not anybody. But add it all up... and that's a LOT of pennies.

This actually happens to trucks

Big trucks that drive your snacks and your shoes and your video games to the store lose money the exact same sneaky way. A truck driver waits at a store for way too long and doesn't get paid for the wait. That's like working extra at your lemonade stand for free.

Grown-ups lose about **FIFTEEN BILLION DOLLARS** a year this way. That's a 1 with TEN zeros after it: \$15,000,000,000.

If you stacked that many dollar bills up, they'd be taller than **180 Mount Everests**. Stacked. On top of each other. That's how much money we're talking about.

Four things I watch for

When I'm trying to catch the sneaky pennies, I only ever need to ask four questions:

- Is the money actually there?
- Did the thing really happen, or not?
- How much stuff are we talking about?
- How long did it take?

Three ways the money sneaks away

Margin Drift, you get paid less than you were promised. Like your friend saying they'll trade you 5 Pokémon cards and only handing you 3.

Utilization Drift, something just sits there doing nothing. Like a kid standing alone at recess when they could be playing kickball.

Capture Drift, nobody even asked in the first place! Like when nobody picks you for the team, so you don't even get a chance to play.

The rule: never mix these three up into one number. A company called Convoy did that once. They thought everything was great because one number looked good, and it wasn't, and they're not around anymore. Always check all three separately!

So how do you catch a penny thief?

You can't just check your lemonade jar once, at the very end of summer. By then, all the pennies are already gone and mixed in with everything else.

You have to watch it happen. Every single penny. Every single day. That's too big a job for one person, or even a hundred people. It's a job for a really, really smart computer helper, one that never gets tired and never looks away.

That's the whole mystery.

If a grown-up you know works in trucking or shipping stuff, ask them if they know where their pennies are going. Bet they don't. Bet they'd love to know.